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कर्मचारी भविष्य निधि संगठन

(अम एवं राजस्व मंत्रालय, भारत सरकार)

EMPLOYEES' PROVIDENT FUND ORGANISATION

(Ministry of Labour & Employment, Govt. of India)

मुख्य कार्यालय / Head Office

भविष्य निधि भवन, 14-भिकारी कामा प्लेस, नई दिल्ली-110 066

Bhavishya Nidhi Bhawan, 14, Bhikarji Cama Place, New Delhi - 110 066

LC-4/5/13/judgement/pt.

Date: 05.02.2014

To

All Addl. Central P.F Commissioner(Zone)
All Regional P.F Commissioners
Regional Offices/Sub-Regional Offices

**Sub:- Forwarding of important judgement by Hon'ble High Court in CWJC
No. 4074/10/11, Ms. Giri Lall & Company Vs. SOB & Ors.- regarding.**

Sir,

Please find enclosed herewith a copy of the judgement delivered by Hon'ble High Court, Patna in CWJC No. 4074/10/11, dated 16.12.2013 (copy enclosed).

2. In the instant matter, while dismissing the above petition, Hon'ble Court held that mere long continuance of litigation by the petitioner and there being no interim order protecting the petitioner, it cannot be said that there was any mitigating factor in the favour of the petitioner.

Hon'ble Court has further observed that if there is any delay by the Provident Fund Authorities in the performance of their statutory duties, the same cannot be allowed to go against the interest of the employees as EPF & MP Act is a beneficial piece of legislation.

3. Therefore, this landmark order of Hon'ble court, Patna may be kept in mind while defending the similar cases.

Yours faithfully,

Encl: As Above

(P. KUDGATA)

Addl. Central P. F. Commissioner (Compliance)

Tel:- 011-26172672

IN THE HIGH COURT OF JUDICATURE AT PATNA

Civil Writ Jurisdiction Case No.4074 of 2010

M.S.Giri Lall & Co. Through Its Partner Sri Sudhir Prasad Sharma Having
Functional Industrial Estate At Karan Chaura, P.O. & P.S. - Munger, Distt.-
Munger (Bihar) Petitioner

Versus

1. The State Of Bihar
2. Assistant Provident Fund Commissioner Employee Provident Fund
Organization Sub- Regional Office, At- Adampur, P.O. & P.S - Bhagalpur,
Distt - Bhagalpur (Bihar)
3. The Employees Provident Fund Appellant Tribunal, New Delhi Through
Union Of India Respondents

Appearance :

For the Petitioner : Mr. Sanjeev Kumar

For the Respondents : M/s Ram Shankar Pradhan & Jainandan Kumar.

**CORAM: HONOURABLE MR. JUSTICE RAMESH KUMAR
DATTA
ORAL ORDER**

9 16-12-2013 Heard learned counsel for the petitioner and learned
counsel for the Employees Provident Fund Organization.

The petitioner seeks quashing of the order dated
18.07.2008 passed by the Employees Provident Fund Organization
Tribunal as also order dated 18.01.2005 passed by the Assistant
Provident Fund Commissioner, Employees Provident Fund
Organization, Sub-Regional Office at Adampur, Bhagalpur.

The facts of the case are not in dispute. Briefly stated
the petitioner was by order dated 12.10.2003 of respondent no.2
levied damages of Rs.2,99,629/- under different account numbers
under Section 14B of the Employees Provident Fund and
Miscellaneous Provisions Act, 1952. Aggrieved by the same the

petitioner moved this Court by filing CWJC No. 147 of 2004 which was allowed by order dated 14.09.2004 quashing the order dated 13.10.2003 with the direction that Annexure-9 therein be taken as notice to show cause and the petitioner within four weeks shall be obliged to file his reply before the authority and within the period fixed by the said Authority he shall appear and submit his case. If within that time the petitioner failed to appear then the authorities would be free to pass ex-parte order. The petitioner, thereafter, filed his show cause as well as objection petition under Section 14B of the Act in which the main stand taken by the petitioner was that earlier impugned damages awarded under Section 14B amounted to Rs.752.65 which was deposited on 17.10.1989 and, thereafter, there was no deposit in view of the judgment of acquittal passed by the court in favour of the petitioner. Thereafter, the determinations of the money dues made by the authorities under Section 7A of the Act was challenged by the petitioner in the High Court followed by an L.R. and subsequent SLP in the Supreme Court and thus the stand taken was that the petitioner has deposited the entire dues for the period of March, 1990 to March, 1999 and also deposited further amount as directed by the Department and the delay in payment being on account of pending litigation no interest was chargeable.

He claimed that he had deposited excess amount under Section 70 and damages under Section 14B is illegal and without jurisdiction. After considering the plea of the petitioner the Assistant Commissioner of the Employees Provident Fund Organization by his impugned order dated 18.01.2005 rejected the contention of the petitioner and directed the petitioner to deposit the amount of damages at Rs.2,09,478/- and after deducting therefrom the amount of Rs.1,34,615.92 already paid the balance amount came to Rs.1,64,862.08 to be paid along with simple interest on the said amount at the rate of 12% in the different accounts. Aggrieved by the same, the petitioner filed an appeal before the Employees Provident Fund Appellate Tribunal, New Delhi which, by its order dated 18.07.2008 dismissed the appeal.

Learned counsel for the petitioner submits that the notice itself for payment of damages for the period from 1985 to 1999 have been issued after a great delay and, thus, such belated issuance of notice shall have mitigating effect on damages. In support of the same learned counsel relies upon a decision of the Orissa High Court in the case of **Orissa State Electricity Board Vs. Union of India** (1999) III L.L.J. 353, Orissa, in paragraph 3 of which it has been held as follows:

"It is rightly submitted by the learned counsel for

opposite parties that no strait jacket formula was laid down by this Court. But, it goes without saying that the period of delay is a relevant factor while considering the appropriate damages to be levied. If the delay is unusually long, higher percentage would be appropriate. In case of marginal delay token damages can be levied. For periods up to one month 5% of the amount in default would be appropriate, while 12% would be appropriate for default up to one year. Though no time limit has been fixed within which damages have to be levied, it should, in the absence of compelling reasons, be done within a reasonable time from the expiry of the due date. Delay in performance of statutory duties amounts to an abuse of process of law. The Statute under consideration is a beneficial piece of legislation. Early action would be in the interest of all concerned. In a given case unusual delay in levying damages would be a mitigating factor while considering appropriate quantum. Long delay may fill an employee to a false sense of condonation. The provision has a reformatory element in it. That is an additional reason as to why levy of damages, if any should be done as early as practicable. Though delayed levy does not invalidate the same; yet, as indicated supra, it is in a given case a mitigating factor."

Learned counsel further submits that the impugned order is not a reasoned order, rather it is a mechanical order so far

as period of computation of damages is concerned:

Learned counsel for the Employees Provident Fund Organization, on the other hand, submits that the damages have been rightly levied in terms of paragraph 32 A of the Employees Provident Fund Scheme, 1952 read with Section 14B of the Employees Provident Fund Act.

It is submitted by learned counsel that the rate of interest is clearly provided under the said paragraph 32 A of the Scheme and it has also been noticed by the Appellate Tribunal in its order. It is, thus, urged that since the period of delay in deposit was to the extent of more than four years, hence calculated at the rate of 15% as was then prevailing rate in paragraph 32 A coupled with the condition that the total damages would not be more than the arrears deposited after delay in terms of Section 14B of the Act, the full amount of arrears being the ceiling amount for damages has been levied, which cannot be held to be unjustified.

Learned counsel submits that the order cannot be considered as a warranted order as both the Assistant Provident Fund Commissioner and the Appellate Tribunal have considered the submission of the petitioner that the delay was on account of the pending litigation and have not accepted the same on the

ground that mere pendency of litigation at the behest of the petitioner could not be a reason for mitigation of damages in the absence of stay by any of the Courts at any stage.

On a consideration of the rival submissions of learned counsels for the parties, I find substantial force in the submission of learned counsel for the Provident Fund Organisation. It is true that levy of damages under Section 14B of the Act is only to be made after giving a reasonable opportunity to the employer of being heard but having done so, so far as the quantum is concerned, if the respondent authorities do not find any circumstances in favour of the employees then normally it is expected that they would follow the rates as prescribed in paragraph 32 A of the Scheme which is a statutory scheme and it is evident from it that the lesser the delay the less is the rate per annum prescribed for levy of damages.

I am also of the view that mere long continuance of litigation by the petitioner before this Court and the Supreme Court in which it was unsuccessful at all stages and there being no interim order protecting the petitioner, it cannot be said that there was any mitigating factor in favour of the petitioner. It has to be remembered that the FPF & MP Act is a beneficial piece of legislation in favour of the employees and, thus, any amount not

deposited by the employer has to be taken seriously:

So far as the reliance by learned counsel for the petitioner on the decision of the Orissa High Court in the case of Orissa State Electricity Board (supra) is concerned, the same cannot be of any assistance to the petitioner. Considering the long pendency of the criminal case against the petitioner which finally concluded in the year 1996 as also the fact that such damages and the interest levied thereon come into the Fund which is for the benefit of the employees, thus, if there is any delay by the Provident Fund Authorities in the performance of their statutory duties, the same cannot be allowed to go against the interest of the employees. To that extent, with great respect, I am not in agreement with the said decision of the Division Bench of the Orissa High Court.

Thus, in the light of the aforesaid discussion, I find no merit in this writ application which is, accordingly, dismissed.

(Ramesh Kumar Datta, J)

A. Ahmad -